EXAMPLE REGIONAL WATER AUTHORITY - INVESTMENT POLICY

INVESTMENT POLICY OF THE EXAMPLE REGIONAL WATER AUTHORITY

I. ADOPTION

This written investment policy was adopted by resolution of the Board of Directors on October 1, 2025, with an effective date of October 1, 2025.

II. OBJECTIVES AND STANDARD OF CARE

The primary objectives, in order of priority, are preservation and safety of principal, liquidity, and yield. Yield is subordinate to safety of principal and liquidity. Investments shall be made with judgment and care, under prevailing circumstances, that a person of prudence, discretion, and intelligence would exercise in the management of the person's own affairs, not for speculation, but for investment. In determining whether the Investment Officer has exercised prudence, the determination is made across all funds under the Officer's responsibility rather than a consideration as to the prudence of a single investment, and by reference to whether the decision was consistent with the written investment policy of the Authority.

III. INVESTMENT MANAGEMENT

This policy addresses investment diversification, yield, and maturity, and the quality and capability of investment management, including officer designation, qualifications, and training.

IV. INVESTMENT STRATEGIES

A separate investment strategy is adopted for each fund group. For the operating fund, the debt service fund, and the capital project fund, each strategy addresses suitability, preservation and safety of principal, liquidity, marketability, diversification of the investment portfolio, and yield, in that order of importance.

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V. AUTHORIZED INVESTMENTS

The following investments are authorized, and investments not listed are not authorized notwithstanding any authority conferred by Chapter 2256: obligations of the United States and its agencies, certificates of deposit, fully collateralized repurchase agreements, and eligible investment pools. Commercial paper is authorized with a stated maturity of 270 days or fewer, rated by at least one nationally recognized credit rating agency. Bids for certificates of deposit may be solicited orally, in writing, electronically, or in any combination of those methods.

Government obligations are limited to obligations of the United States or its agencies and instrumentalities, direct obligations of this state or its agencies, and obligations unconditionally guaranteed or insured by, or backed by the full faith and credit of, this state or the United States. Collateralized mortgage obligations are limited to those directly issued by a federal agency or instrumentality the underlying security for which is federally guaranteed. Interest-only strips, principal-only strips, collateralized mortgage obligations with a stated final maturity greater than ten years, and inverse floating rate collateralized mortgage obligations are not authorized.

Certificates of deposit must be issued by a depository institution that has its main office or a branch office in this state and must be guaranteed or insured by the Federal Deposit Insurance Corporation or the National Credit Union Share Insurance Fund, or secured by obligations described by Section 2256.009(a) having a market value of not less than the principal amount of the certificates, excluding those described by Section 2256.009(b), or secured in accordance with Chapter 2257.

Each authorized investment pool must be continuously rated no lower than AAA or AAA-m or at an equivalent rating by at least one nationally recognized rating service, and the Board authorizes investment in each particular pool by resolution after review of the

pool's offering circular. The pool must furnish transaction confirmations and a monthly report.

VI. MATURITY LIMITS

The maximum stated maturity of any individual investment is 24 months for the operating fund and 60 months for the debt service fund. For pooled fund groups, the maximum dollar-weighted average maturity allowed, based on the stated maturity date for the portfolio, is 270 days.

VII. MARKET PRICE MONITORING

The market value of all investments is determined monthly using an independent pricing source retained by the Authority and independent of any counterparty to the transaction.

VIII. SETTLEMENT

All securities transactions, other than investment pool funds and mutual funds, shall be settled on a delivery versus payment basis.

IX. RATING MONITORING AND LOSS OF RATING

The Investment Officer shall monitor rating changes in all investments acquired with public funds on a monthly basis. An investment that requires a minimum rating does not qualify as an authorized investment during the period the investment does not have the minimum rating, and the Authority shall take all prudent measures consistent with this policy to liquidate any such investment.

X. INVESTMENT OFFICER

The Board of Directors designates by resolution one or more officers or employees of the Authority as Investment Officer, responsible for the investment of its funds consistent

with this policy. Authority granted is effective until rescinded, until the expiration of the officer's term, or until termination of employment. The Investment Officer shall exercise the judgment and care a prudent person would exercise in the management of the person's own affairs. The Board of Directors retains ultimate responsibility as fiduciary of the assets of the Authority.

XI. BROKER LIST

The Board of Directors shall at least annually review, revise, and adopt a list of qualified brokers authorized to engage in investment transactions with the Authority.

XII. BUSINESS ORGANIZATIONS

A written copy of the investment policy shall be presented to any business organization offering to engage in an investment transaction. A qualified representative shall execute a written instrument certifying that it has received and reviewed the investment policy and implemented reasonable procedures and controls. The Investment Officer may not acquire any authorized investment from a business organization that has not delivered the instrument required by Subsection (k).

XIII. ANNUAL REVIEW

The Board of Directors shall review this investment policy and the investment strategies not less than annually and shall adopt a written instrument stating that it has reviewed the investment policy and investment strategies and shall record any changes.

XIV. REPORTING AND AUDIT

Not less than quarterly the Investment Officer shall prepare a written report of investment transactions for all funds, signed by each investment officer, presented to the governing body and the chief executive officer. The report states the beginning market value, ending market value, and fully accrued interest for each pooled fund group, the

book value and market value of each separately invested asset, the maturity date of each such asset, the fund for which it was acquired, and compliance with the investment strategy and with the relevant provisions of Chapter 2256. The investment reports shall be formally reviewed at least annually by an independent auditor, and the result of the review shall be reported to the governing body. A compliance audit of management controls on investments and adherence to this policy is performed in conjunction with the annual financial audit.